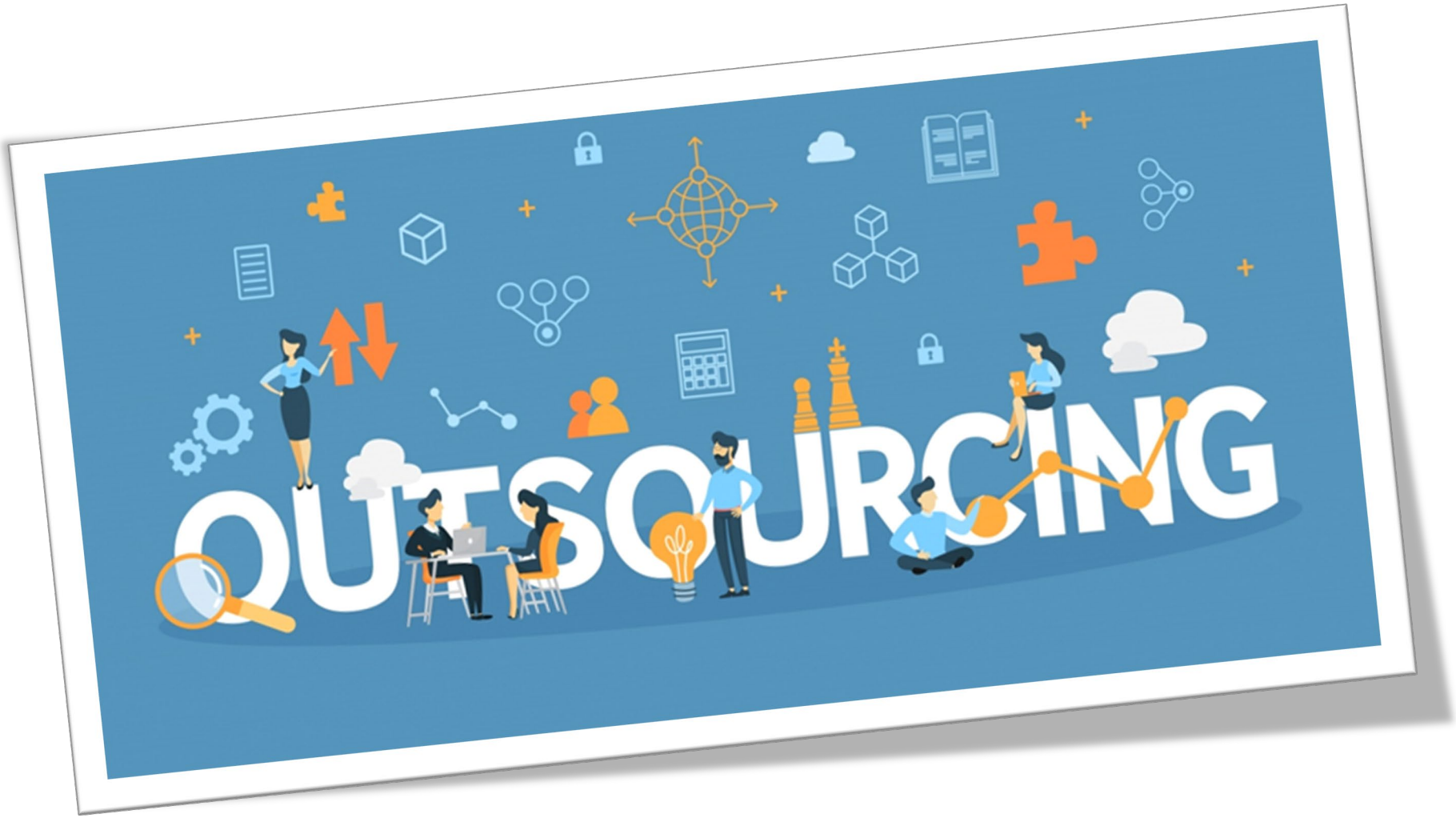
JÖNKÖPING UNIVERSITY
School of Engineering

IT Service Management

2025


OUTSOURCING

Definition of IT Outsourcing

IT-Outsourcing can be defined as:

”transferring an IT-related activity from inside to outside the firm”

Outsourcing 2025

Market size: The global IT outsourcing market is projected to reach **USD 588 billion in 2025**, with a continued growth rate of about 6–8% annually until 2030 (turn2search44). Some forecasts indicate the market could exceed **USD 850 billion** before 2030.

Usage among companies: 92% of the world's 2000 largest companies use outsourcing for IT services

77% of all companies globally outsource some form of IT function (turn2search46).

Regional insights: The U.S. accounts for about **37% of global outsourcing revenue**, while Asia (especially India) continues to dominate as a provider region

(turn2search42).

Outsourcing: A helpful construct or total confusion?

- What is the difference between outsourcing and offshoring?
- Is outsourcing the same as a make-or-buy decision?
- What is backshoring?
- What is Nearshoring?

Relates to supplier strategy practice

The supplier strategy (often referred to as the sourcing strategy) defines the organisation's plan for how and where it will use suppliers. The options include:

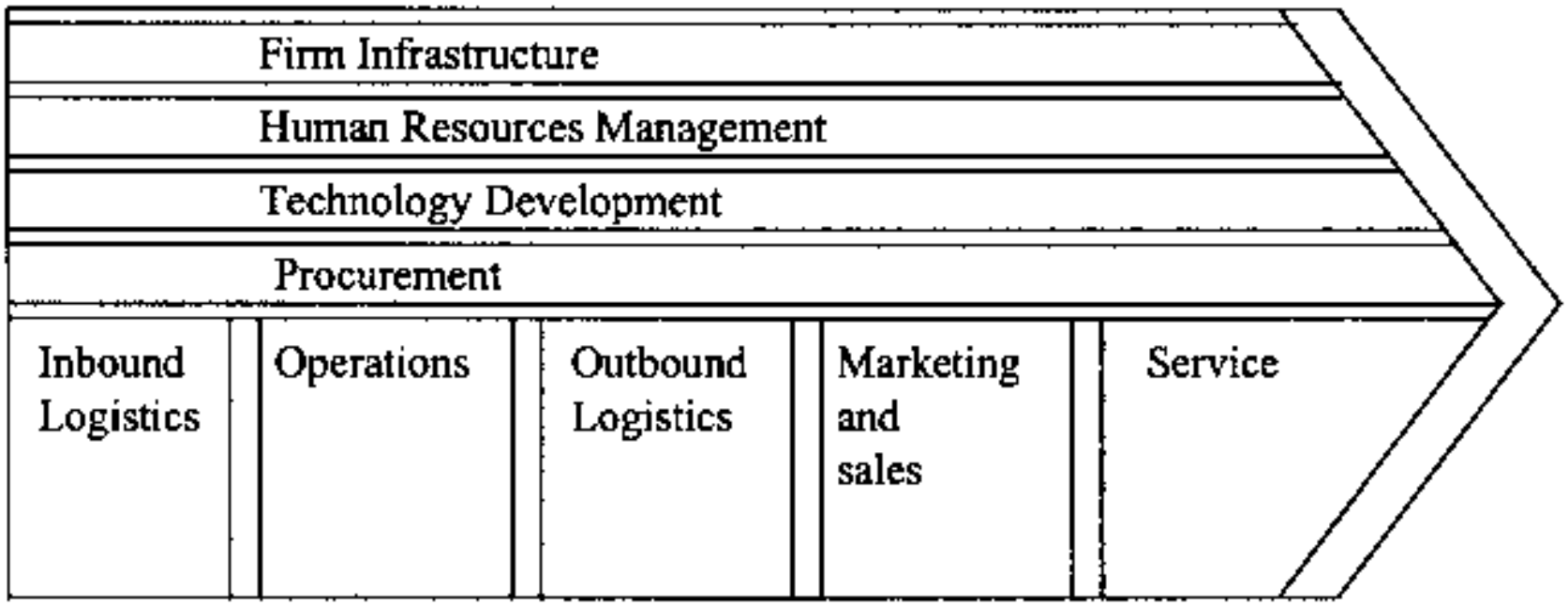
- **Insourcing:** using resources internal to the organisation.
- **Outsourcing:** using external suppliers.
- **Single sourcing or partnership:** procurement from a single supplier that supplies all elements of the service, or which acts as a service integrator to manage other suppliers on behalf of the organisation.
- **Multi-sourcing:** using more than one supplier.

ITIL and Outsourcing

Very few services are delivered using only one organization's own resources. Most, if not all, depend on other services, often provided by third parties outside the organization

(see section 2.4 of *ITIL Foundation: ITIL 4 Edition* for a model of a service relationship).

Examples of generic functions to outsource



Malmgren 2014

Outsourcing Trends 2025

AI and automation at the center: Companies outsource to gain access to AI-driven solutions and automation that streamline processes

Cybersecurity as a priority: Increased threats and new regulations (e.g., NIS2, DORA) drive strong growth in outsourcing security services

Cloud-based outsourcing: Migration to the cloud and the need to manage SaaS services fuel demand for specialized providers

Nearshoring and hybrid models: Companies choose providers in nearby regions for better communication and faster delivery

Specialized expertise: Demand for experts in AI, blockchain, IoT, and data analytics is rising sharply

Other Examples of IT-Opportunies for Outsourcing

Activity	
Support	Restoration and prevention of incidents for in-scope technologies
Operations	Outsourcing the operations centre function reduces the need to ensure adequate coverage with internal staff, especially if it is provided at all times. This function can provide monitoring, systems management, job scheduling, or other activities
Backup	Provider configures and manages backup jobs and repositories, addresses backup failures, and restores files as needed.
System Management	Manage systems to keep up to date for versions, configurations, and patches.
Provisioning	Delivery of desktops, servers, computer, network, and storage services or other technology services.

Source: Infrastructure and platform management: Practice Guide | Axelos

Why Outsourcing?

DISCUSS

Some motives for outsourcing

- Costs – Cut internal costs and also outsource to external sources that have competitive cost advantages
- Financial factors -Ease the balance-sheet and improve financial performance
- Core competence - Improve returns on in-house resources (better focus) and create competitive barriers
- Operational constrains - Improving operational flexibility
- External capabilities – better capabilities outside the firm?
- Access to resources (operant and operand)
- Opportunity to get a way from a challenge or big concern
- …

Motives for outsourcing

Key drivers 2025: Cost savings remain important but have decreased as the primary driver (from 70% in 2020 to 34% in 2024). The focus is now on **access to expertise**, faster innovation, and flexibility.

	Cost reduction	**Financial leverage**	Operational quality,	**Focus on core competence**	**Accessing external competence**	Focus on fewer activities	**Risk reduction**
1990-1997	83%	33 %	61%	11%	33 %	22 %	17 %
1998-2005	80 %	**53 %**	60 %	**60%**	**60%**	7 %	**33%**

* More than one driving force per respondent

Adapted from Nordigården, 2007

Outsourcing

- Outsourcing becomes a central tool for organizations business
- As a result of firms applying "me too" outsourcing strategies, new sub sectors with new firms have developed
  - **Mimetic isomorphism** = companies copying others
- "Outsource" parts of, or entire, IT operations
- "Multi sourcing" involves several service providers
- Managed right, outsourcing can provide opportunities for companies to develop their core competencies while at the same time lower overall cost (see next slide)

Outsourcing risks?

DISCUSS

Outsourcing: Risks

- Control will be poorer
- Quality may degrade
- Knowledge is lost
- The price tag can be costly
- Have to compromise in collaborations
- The supplier can loose staff
- Maybe not got everything in the contract
- …

Due Dilligence

“Gartner (2019) Says Organizations Must Review Outsourcing Arrangements to Mitigate Geopolitical Risk”

Due diligence is an investigation into the business or product you are interested in buying. You will conduct your due diligence before the transaction is finalized to verify if the acquisition is worth it.

If you don’t do your due diligence, you might make a purchasing mistake. The person you are buying from might try to leave out details or fudge numbers to hook you. Without verifying the details you receive and searching for more information, you might buy a business or product that isn’t a good financial investment.

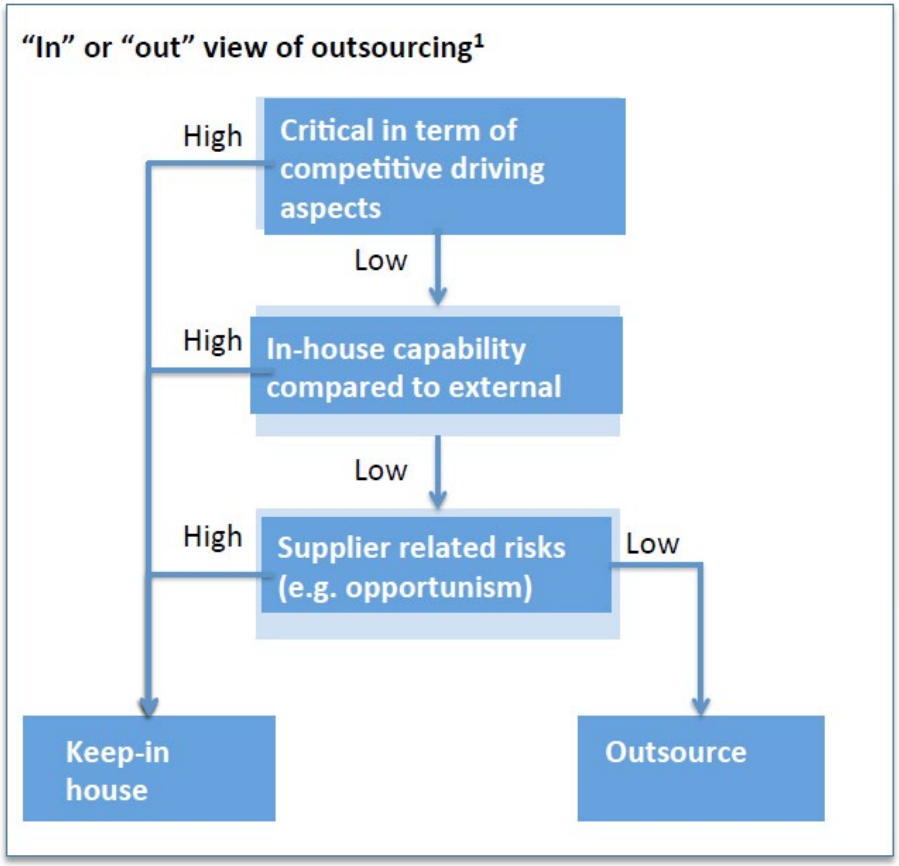
Due Dilligence

When you do due diligence, you will look at several aspects of the prospective business or product:

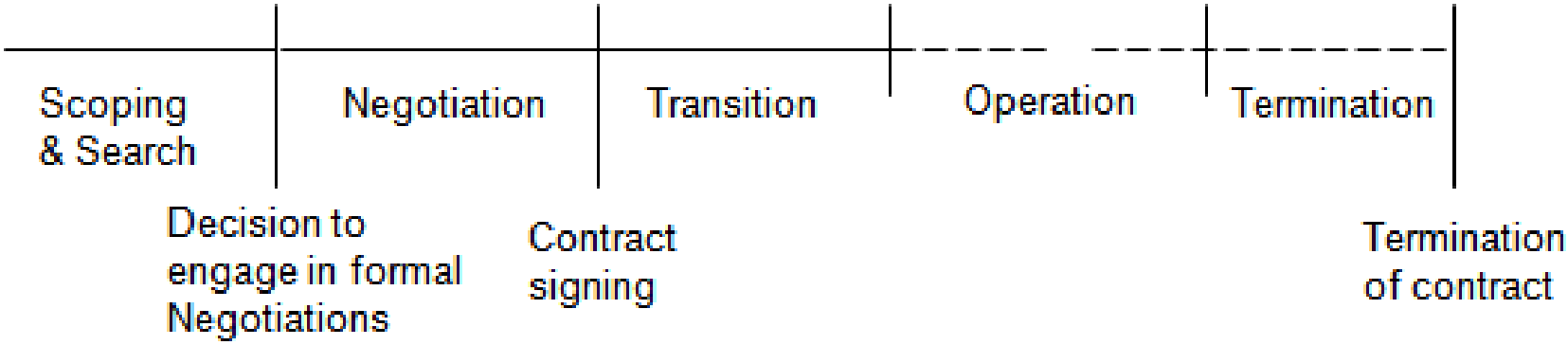
- Financial due diligence
- Legal due diligence
- Operational due diligence
- Product due diligence
- Human capital due diligence

Suppliers should be selected and evaluated based on:
•Importance and impact
•Risk
•Costs

Simplified view of outsourcing decision process



Opportunism: "the art, policy, or practice of taking advantage of opportunities or circumstances often with little regard for principles or consequences"

Adapted from Nordigården, 2007

Stages in Outsourcing